

source of value for the people who become customers. Anything those customers experience from their interaction with a company should be considered part of that company's product. This is true of a grocery store, an e-commerce website, a consulting service, and a nonprofit social service agency. In every case, the organization is dedicated to uncovering a new source of value for customers and cares about the impact of its product on those customers.

It's also important that the word innovation be understood broadly. Startups use many kinds of innovation: novel scientific discoveries, repurposing an existing technology for a new use, devising a new business model that unlocks value that was hidden, or simply bringing a product or service to a new location or a previously underserved set of customers. In all these cases, innovation is at the heart of the company's success.

There is one more important part of this definition: the context in which the innovation happens. Most businesses—large and small alike—are excluded from this context. Startups are designed to confront situations of extreme uncertainty. To open up a new business that is an exact clone of an existing business all the way down to the business model, pricing, target customer, and product may be an attractive economic investment, but it is not a startup because its success depends only on execution—so much so that this success can be modeled with high accuracy. (This is why so many small businesses can be financed with simple bank loans; the level of risk and uncertainty is understood well enough that a loan officer can assess its prospects.)

Most tools from general management are not designed to flourish in the harsh soil of extreme uncertainty in which startups thrive. The future is unpredictable, customers face a growing array of alternatives, and the pace of change is ever increasing. Yet most startups—in garages and enterprises alike—still are managed by using standard forecasts, product milestones, and detailed business plans.